investments ($4.2 billion of new investments and $3.2 billion of reinvested earnings) and $5.7 billion of direct investment in debt instruments.

ODI has followed a more volatile journey since 2013–14. In 2014–15, it fell to $4 billion, then rose to $8.89 billion in 2015–16 to fall again to $6.6 billion in 2016–17. ODI started rising again from 2017–18 ($9.1 billion) to $12.6 billion in 2018–19 and $13 billion in 2019–20.

Net of ODI, FDI was at $43 billion in 2019–20, 50 per cent over the level of $30.7 per cent in 2018–19. Net FDI was $21.6 billion in 2013–14, which rose smartly to $31.3 billion in 2014–15 and $36 billion in 2015–16. It remained stuck at $35.6 billion in 2016–17 and then fell to $30.3 billion in 2017–18 and $30.7 billion in 2018–19.

Portfolio Investments are Excessively Volatile

Portfolio investments—investments in shares and debt securities in stock markets or OTC markets—are hot money. These investments are made with a view to make profits using opportunities provided by rising stock prices, which happen on account of numerous factors and movement in yields of debt securities. India has a large stock of portfolio investments by foreigners, whereas Indians are still to make any notable investments in financial assets abroad.

The six years since 2013–14 have witnessed excessive volatility. The year 2013–14 witnessed a net inflow of portfolio investment in India in the order of $5 billion. The next year, 2014–15, saw a tremendous increase in FPI coming to India at $40.9 billion, while 2015–16 saw a net outflow of $4 billion. The year 2016–17 was again positive and saw FPI inflows of $7.7 billion. This was followed by another blockbuster year in 2017–18 with net FPI inflow of $22.2 billion. However, 2018–19 flipped with negative FPI of $2.2 billion and 2019–20 saw marginal positive inflows of $552 million.

FPI flows comprise both equity and debt. Debt flows are far more volatile. In 2013–14, while total inward portfolio investments were positive